George Bancroft's *A Plea for the Constitution of the United States Wounded in the House of Its Guardians* (1886): The Legal Tender Cases and Their Connection to the Ambiguity of the 5-20 Bonds

Notes prepared from Bancroft (1886) and related sources

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1 Bancroft: Historian, Statesman, and Monetary Conservative

George Bancroft (1800–1891) was uniquely positioned to write a constitutional brief against paper money. As the foremost narrative historian of the United States—his ten-volume *History of the United States, from the Discovery of the American Continent* (1834–1874) was a monument of nineteenth-century scholarship—he brought to monetary questions not merely the moralism of a hard-money partisan but the documentary authority of a man who had spent fifty years in the primary sources of the founding era. He had personally known James Madison, John Adams, and the Marquis de Lafayette; had served as Secretary of the Navy under President Polk and as Minister to Prussia and Germany under Presidents Johnson and Grant; and had been accorded the rare distinction of floor privileges in the United States Senate by virtue of his name alone. He was 84 years old when he sat down to write the *Plea*, and he died at 91 having never relented.

The *Plea for the Constitution* (Harper & Brothers, 1886) is nominally a response to a single Supreme Court decision—*Juilliard v. Greenman* (1884)—but its ambition is far larger: it is a comprehensive historical argument that the framers of the Constitution deliberately, consciously, and by large majorities withheld from the federal government the power to make paper money legal tender for private debts, and that a succession of Supreme Court decisions had betrayed this original design. It is organized in five parts, moving from colonial monetary history through the Constitutional Convention to the post-Civil War cases.

2 The Structure of the Argument

2.1 Parts I and II: The Colonial and Revolutionary Experience

Bancroft opens by tracing the history of American bills of credit from their first colonial emission in Massachusetts in December 1690—seven thousand pounds issued to cover the costs of a failed expedition against Quebec—through the Revolutionary era. The story he tells is one of inexorable depreciation, repudiation, and moral corruption. Massachusetts issued its first bills as a war emergency; within nineteen months they had driven coin from circulation entirely. The pattern repeated in every colony that followed: bills loaned out on easy terms quickly depreciated, driving up prices, benefiting debtors at the expense of creditors, and corrupting commercial morals.

He marshals an impressive series of contemporary witnesses against paper money. Roger Sherman of Connecticut—one of the framers Bancroft most admired—wrote in 1752 that money must have certain value, that a debtor ought not to pay debts with less value than contracted for without the creditor's consent, and that a fluctuating medium was no better than false weights and measures. Bancroft invokes Adam Smith's famous judgment on Pennsylvania's 1723 legal tender law: it "bears the evident mark of a scheme of fraudulent debtors to cheat their creditors." George Washington repeatedly condemned paper money in private correspondence, calling it in 1787 "foolish and wicked" and insisting that it is "by the substance, not with the shadow of a thing, we are to be benefited." Madison characterized it as simultaneously "unjust," "unconstitutional," and "pernicious." The house of delegates of Virginia voted 85–17 in November 1786 that paper emissions would be "unjust, impolitic, and destructive of public and private confidence."

The revolutionary experience provided the final proof. During the War of Inde-

pendence, bills "became as plenty as oak leaves," in John Adams's phrase; continental dollars were ultimately called in at one silver dollar for a hundred paper ones—a repudiation so complete that it served as the decisive empirical exhibit in every subsequent debate.

2.2 Part III: The Constitutional Convention Closes the Door

The core of Bancroft's historical argument concerns what happened at Philadelphia in the summer of 1787. His claim is precise: the framers did not merely decline to grant the federal government a power to emit bills of credit as legal tender—they actively and by large majorities stripped out language that would have permitted it, doing so with full awareness of what they were doing.

The original draft of the Constitution gave Congress the power "to borrow money, and emit bills on the credit of the United States." Gouverneur Morris moved to strike the words "and emit bills." The motion passed 9–2. James Madison noted in his convention journal that the majority "thought it advisable not to insert this power; thinking it probable that the omission would not disable the use of public notes so far as they would be safe and proper, and would only cut off the pretext for a paper currency, and particularly for making the bills a tender either for public or private debts." Nathaniel Gorham, presiding, asked whether the deletion would not stop the government from borrowing money on the credit of the United States; the majority answered that it would not, that bonds and certificates were plainly permitted—but paper money declared legal tender for private debts was not.

The states' constitutions told the same story. Article I, Section 10 explicitly forbade states from emitting bills of credit or making anything but gold and silver coin a tender in payment of debts. This express prohibition on the states, combined

with the congressional power struck from the draft, was for Bancroft the decisive textual signal: the Constitution closed the door to paper legal tender, at both levels of government.

Hamilton, whose monetary nationalism Bancroft might have seemed unlikely to invoke, had written in 1783—four years before the Convention—that "to emit an unfunded paper as the sign of value ought not to continue a formal part of the constitution, nor ever hereafter to be employed; being, in its nature, pregnant with abuses, and liable to be made the engine of imposition and fraud." That this was the same Hamilton who later built the First Bank and funded the national debt only strengthened Bancroft's point: even the most ambitious architects of federal fiscal power drew a sharp line at paper legal tender.

2.3 Part IV: The Constitution in the House of Its Guardians

Part IV is the polemical heart of the work. It traces the Legal Tender Cases and pronounces them a judicial catastrophe. Bancroft's central structural device is devastating: he invokes the framers, the earliest Chief Justices (who were also framers), and the entirety of constitutional tradition on behalf of Justice Stephen Field's lonely dissent in *Juilliard*, against the eight-Justice majority.

3 The Legal Tender Cases: A Trilogy

The Legal Tender Cases comprise three decisions spanning 1870 to 1884, each one ratcheting the constitutional permissions of paper money further than the last.

3.1 *Hepburn v. Griswold* (1870): Chase's Reversal

The first case in the trilogy is also the most dramatically ironic. The Legal Tender Act of February 25, 1862—whose drafting Chase had overseen as Secretary of the Treasury, and which he had initially opposed before reversing himself under the pressure of war finance—came before the Supreme Court in *Hepburn v. Griswold* (75 U.S. 603), decided February 7, 1870. And the opinion holding the Act unconstitutional was written by none other than Salmon P. Chase, now Chief Justice.

Chase's constitutional argument rested on two pillars. First, the Act as applied to contracts made *before* its passage impaired the obligation of those contracts in a manner contrary to the spirit, if not the letter, of the Constitution. Second, it deprived creditors of property without due process of law in violation of the Fifth Amendment, since a creditor who had contracted for payment in gold received greenbacks worth substantially less. Chase appealed not to any express constitutional provision but to the "spirit" of the instrument—a methodological move that would later be turned against his own opinion.

The vote was 4–3, and the court that decided it was shorthanded: only seven justices participated, as vacancies had not been filled. Justice Miller's dissent pleaded for judicial restraint against Chase's "abstract and intangible" spirit-of-the-constitution reasoning. Chase did not expressly recant his actions as Treasury Secretary; he argued instead that necessity had compelled what principle now condemned.

Bancroft was entirely sympathetic to Hepburn's result, but the circumstances of its reversal—fifteen months later, by a reconstituted court, on a 5–4 vote—gave him as much material for his indictment of the Supreme Court as the pro-legal-tender decisions themselves.

3.2 *Knox v. Lee* and *Parker v. Davis* (1871): The Court-Packing Reversal

The reversal came with stunning speed. On the same day that *Hepburn* was announced (February 7, 1870), President Grant nominated two new justices to fill existing vacancies: William Strong of Pennsylvania and Joseph Bradley of New Jersey. When the court reached its new complement of nine, the Attorney General moved for reargument. The new court—with Strong and Bradley both participating—reversed *Hepburn* in *Knox v. Lee* and *Parker v. Davis* (79 U.S. 457), decided May 1, 1871, by a vote of 5–4.

Justice Strong's majority opinion relied on the implied powers doctrine of *McCulloch v. Maryland*: if Congress has the power to conduct war and to borrow money on the credit of the United States, and if a paper currency declared legal tender is an appropriate means of executing those powers, then the Legal Tender Acts are constitutional under the Necessary and Proper Clause. Strong addressed the timing coincidence head-on, chiding Chase for having "forced" an earlier decision when the court was divided and on the verge of receiving new appointees—a remarkable instance of one majority lecturing a former majority about the indecorum of the very process by which the current majority came to exist.

Chase dissented, joined by Clifford and Field, in opinions that largely reiterated the Hepburn majority. Field's dissent—which Bancroft would later invoke as vindicated by history—was the most constitutionally principled: the doctrine that whatever is not expressly forbidden may be exercised would "change the whole character of our government" from one of limited, enumerated powers to one without defined limits in its relations to the people.

The court-composition question has never been fully resolved. Whether Grant

deliberately packed the court to obtain a reversal of Hepburn, or whether the nominations were coincidental to the need to fill vacancies, was debated at the time and remains a matter of controversy. The structural problem is transparent: on a constitutional question of the first magnitude, the outcome turned on the personnel of the court rather than on any change in the law or the facts.

3.3 *Juilliard v. Greenman* (1884): Legal Tender in Peacetime

The third and final case in Bancroft's indictment was *Juilliard v. Greenman* (110 U.S. 421), decided March 3, 1884. The facts were prosaic: Juilliard sold one hundred bales of cotton to Greenman for $5,100; Greenman attempted to pay in legal tender notes that had originally been issued during the war, then redeemed and reissued under the Resumption and Refunding Act of 1878—in peacetime, with no war emergency to justify them.

Justice Gray's majority opinion, for eight of nine justices, held that the power of Congress to declare paper money legal tender was not limited to wartime emergencies but was a permanent attribute of sovereignty. The key passage, which Bancroft reproduces in his Introduction and treats as the proximate occasion for his book, reads: "The power to make the notes of the government a legal tender in payment of private debts being one of the powers belonging to sovereignty in other civilized nations, and not expressly withheld from congress by the constitution; we are irresistibly impelled to the conclusion that the impressing upon the treasury notes of the United States the quality of being a legal tender in payment of private debts is an appropriate means, conducive and plainly adapted to the execution of the undoubted powers of congress."

Bancroft's response to this language was contemptuous. The argument from what "other civilized nations" do had no place in the interpretation of a constitution de-

liberately designed to withhold powers that every European monarchy had exercised; the argument from "not expressly withheld" converted a government of enumerated powers into one of unlimited powers. It was, in his phrase, "the language of revolution."

Moreover—and this is the structural irony that runs through Part IV of the *Plea*—just two years earlier, in October 1882, the very same nine justices who decided *Juilliard* had unanimously adopted the Marshallian principle that "the government of the United States is one of delegated, limited, and enumerated powers. Therefore every valid act of congress must find in the Constitution some warrant for its passage." Bancroft remarks acidly that the Juilliard opinion "is therefore in flagrant antagonism to the constitution of the United States and to the repeated, continuous, and unanimously given, and justly respected interpretations of the constitution by the court itself, under a succession of chiefs without a break."

Only Justice Field dissented. But Bancroft insists, in a characteristic rhetorical move, that standing beside Field are "invincible vouchers for the rightness of his dissent": James Wilson, Oliver Ellsworth, and William Paterson, all three of whom Washington appointed from among the Convention's framers to serve as the court's earliest interpreters. Field's dissent, in this framing, is not a minority position but the transmitted judgment of the founding generation.

3.4 Part V: What Is To Be Done?

Bancroft closes by asking whether remedy is possible. His answer is principally historical and exhortatory: the facts he has assembled are "beyond the reach of change," and the court's only honorable course is to reconsider. He was under no illusion about the political obstacles. The *Plea* attracted, in his biographer's words, "little

serious attention" at the time of publication. The country had committed itself to a paper currency; Resumption had been achieved in 1879 and greenbacks now traded at par with gold; the practical urgency of the constitutional question seemed to have receded. Bancroft died in 1891 having seen no reversal.

4 The Chase Irony and Its Significance

The figure of Salmon P. Chase runs through the entire episode like a thread of constitutional tragedy. As Secretary of the Treasury he overcame his initial legal scruples and signed the Legal Tender Act of February 25, 1862 into policy, marketing the 5-20 bonds to the public with the implicit promise—never guaranteed by statute—that principal as well as interest would be paid in gold. As Chief Justice he voted in *Hepburn* to strike down the very Act he had championed, finding that it impaired private contracts against the spirit of the Constitution. And then he was reversed by a court reconstituted through Grant's appointments, his *Hepburn* majority dissolving fifteen months after it was formed.

Bancroft does not dwell on the irony with personal relish—he treats Chase's conduct as symptomatic of a constitutional culture that had lost its moorings rather than as individual hypocrisy. But he clearly regards the chase episode as illustrating his general thesis: that when great powers are exercised without a clear constitutional warrant, relying instead on expedience and executive reputation, the legal and moral foundations crumble at the first serious challenge. Chase's reputational commitment to gold repayment of the 5-20 principal, and his constitutional commitment to the invalidity of legal tender paper, were both extra-statutory—both existed as assurances he gave without explicit legislative authority—and both were undone by the same political logic that had originally forced him to accept the Legal Tender Act as a war

measure.

5 Connection to the 5-20 Bond Ambiguity

Reading Bancroft's *Plea* alongside the history of the 5-20 bonds illuminates a structural theme that runs across both: the creation of deliberate ambiguity as a short-term political solution, and the downstream costs of resolving it.

5.1 Two Ambiguities in Parallel

The 5-20 bonds created one well-documented ambiguity: the Act of February 25, 1862 specified that interest would be paid in coin, but was entirely silent on principal. This was almost certainly an intentional legislative omission—a compromise that bought the votes needed for passage while preserving fiscal flexibility in a war with uncertain outcome. Chase then bridged the statutory gap with reputational commitment, marketing the bonds as coin-redeemable throughout.

The Legal Tender Acts created a parallel constitutional ambiguity: whether the federal government's power to declare paper legal tender was a permanent attribute of sovereignty (as *Juilliard* ultimately held) or a temporary emergency measure only (as Chase's position in *Hepburn* implied). Congress in 1862 did not address this question because the urgency of war finance crowded out constitutional deliberation. The same dynamic that produced the 5-20 principal silence—competing coalitions, unresolvable disagreement, and the pressure of necessity— produced the legal tender ambiguity.

5.2 Resolution by Political Force Rather Than Constitutional Logic

Both ambiguities were resolved not by the logic of the original texts but by political outcomes that were not guaranteed in advance. The 5-20 principal ambiguity was resolved by Grant's election in November 1868 and the Public Credit Act of March 18, 1869. The legal tender constitutional ambiguity was resolved by Grant's court appointments, producing the *Knox v. Lee* reversal in 1871, and definitively settled in *Juilliard* in 1884.

In both cases, the "resolution" favored the party with the stronger electoral coalition—hard-money Republicans in the former, a broad congressional majority unwilling to constrain its own fiscal powers in the latter. Bancroft's constitutional argument is, at bottom, a claim that this is not how constitutional settlements should work: the framers had already resolved the paper money question at Philadelphia, and the Supreme Court's obligation was to honor that resolution rather than to defer to contemporary political majorities.

5.3 Commitment, Ambiguity, and the Chase Paradox

There is a deeper theoretical connection between the two ambiguities that Bancroft does not articulate explicitly but that his narrative makes visible. In both cases, reputational commitment was used as a substitute for statutory or constitutional commitment—and in both cases the substitute proved fragile when tested.

In the 5-20 episode, Chase's reputation as a hard-money Democrat served as the bonding mechanism for the implicit gold-repayment promise. The commitment was credible so long as Chase remained Secretary and the political context held—but it was not self-enforcing, as Pendleton's "Ohio Idea" immediately demonstrated. In

the legal tender episode, the constitutional "commitment" to limited federal power over money was credible so long as the Court composition remained stable—but it dissolved within fifteen months when two vacancies were filled.

Bancroft's point can be restated in the terms of modern commitment theory: constitutional provisions that are clear and explicit are hard constraints; provisions that rest on implication or the "spirit" of the document are soft constraints that yield to political pressure. The 5-20 silence was a soft constraint on the principal repayment question; the omission of "emit bills" from Article I, Section 8 was a soft constraint on the federal paper money question. Both were resolved by political outcomes. What Bancroft hoped for—and what he believed the Convention had actually achieved—was a hard constraint: a textual prohibition clear enough to resist exactly the kind of "irresistible" reasoning by which Justice Gray found paper money to be a legitimate exercise of sovereignty.

5.4 The Widened Scope of the Problem

From the perspective of Hall and Sargent (2014), the 5-20 bond ambiguity was a relatively contained fiscal discrimination problem: it concerned who would receive gold versus greenbacks in the settlement of a specific class of government obligations, and it was resolved within seven years of the relevant bond issuance. The legal tender constitutional ambiguity was a far more general problem: it concerned whether the government had the power to expand the class of obligations it could discharge in paper, indefinitely and in perpetuity.

Juilliard's holding—that the legal tender power is an attribute of national sovereignty not restricted to war—meant that the fiscal discriminations documented by Hall and Sargent became potentially permanent features of the constitutional order rather than

emergency expedients. Bancroft saw this clearly. His fear was not that the particular bondholders of 1862 would be cheated (they had been made whole, with interest in coin and principal effectively in gold by the Public Credit Act); his fear was that the Court had legitimized an instrument of fiscal discretion that could be deployed against any class of future creditors without limit.

The resolution of the 5-20 ambiguity in 1869 thus sat uneasily alongside the *Juilliard* ruling of 1884. Grant's Public Credit Act had pledged gold repayment for the 5-20s specifically; but *Juilliard* said that Congress had the power to do precisely what Pendleton had proposed—pay public debts in legal tender notes—whenever a future political majority chose to do so. The statutory commitment of 1869 and the constitutional permission of 1884 pointed in opposite directions. Bancroft's *Plea* is, among other things, an argument that the 1884 decision retroactively undermined the constitutional basis for the honor that Grant and the Republicans had claimed in 1869.

6 Bancroft's Intellectual Legacy on These Questions

Bancroft's *Plea* was not well received in its day, and the constitutional position it advocated has never been revived by the Supreme Court. *Juilliard* has been repeatedly reaffirmed; the legal tender power of Congress is not seriously contested in contemporary constitutional law. The Federal Reserve System, created in 1913, operates entirely on the legal foundation that Bancroft believed the framers had forbidden.

Yet the *Plea* retains its interest for several reasons. As historical scholarship, it is a remarkable synthesis of colonial monetary history that anticipated the professional historiography by decades; the basic narrative of colonial paper money depreciation that Bancroft assembled in 1886 remains largely accurate. As constitutional

argument, it is the fullest statement of the "original design" case against paper legal tender, and its documentation of the Philadelphia debates over the "emit bills" clause provides the primary evidence still cited by those who argue (as a minority of constitutional scholars continues to do) that the framers' intent was stricter than subsequent jurisprudence has acknowledged.

But perhaps its deepest interest is as a case study in the long-run consequences of short-term ambiguity. The Civil War Congress of 1862 resolved its immediate fiscal emergency by passing the Legal Tender Act without confronting the constitutional question clearly; the Supreme Court of 1870–1884 resolved the resulting constitutional ambiguity in a manner that Bancroft believed—with considerable historical evidence on his side—was inconsistent with the founders' design. And the original motivation for the 1862 ambiguity—war finance under conditions of political uncertainty—was precisely what Bancroft's historical narrative had catalogued as the universal context in which paper money had always been adopted and always been abused, from Massachusetts Bay in 1690 to continental dollars in 1780.

The 5-20 bonds and the Legal Tender Cases are thus two aspects of a single underlying problem in American fiscal constitutionalism: the difficulty of making credible commitments about money when the institutional mechanisms for doing so—clear statutory language, explicit constitutional prohibition, and a politically insulated judiciary— are themselves products of the political process whose behavior they are designed to constrain.

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